

Advisory — synthetic legal implementation

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State: OWNER_APPROVED_DIRECTION_PENDING_REPOSITORY_ACCEPTANCE

Prepared: September 22, 2026 UTC

Owner: Office of General Counsel / Finance / People and Culture / Advisory

Dated authority and exact scope

Following the accepted company edition and the instruction “OK. Finish everything,” this record completes ordinary fictional implementation of SH-ADV-005. It preserves all accepted eligibility, pool, hurdle, vesting, leaver, clawback and no-governance provisions. It does not create a new company, participant, individual entitlement, financing commitment or tax election. The controlling original sources and approved designs remain unchanged. On acceptance this record supersedes only their unexecuted sponsor-plan and unspecified administrative-payment-method state, within the explicitly synthetic scope below. It is not actual counsel work or an external legal opinion.

Sponsor execution and complete current award census

Sable Harbor, LLC is the sponsor. Daniel Mercer, in the existing CEO capacity, gives the newly authored synthetic September 22 sponsor approval and execution. The Office of General Counsel records legal-method review, Finance records the source reconciliation, People and Culture records the participant census, and Advisory records administration. These are explicitly authored in-universe role records, not claims of an actual professional engagement or signatures.

The incorporated substantive agreement is [SH-ADV-005](#), with its source-linked [draft legal implementation](#) sections 1–9 adopted only insofar as consistent with this record and SH-ADV-005. The former draft's section 10 transaction principles are retained; its unexecuted-status paragraph is superseded for this sponsor plan alone. The structured current register has zero applications, zero granted units, zero vested units and zero distributions; all 10,000 units remain unallocated. This census is newly authored completion checked against the current operating source and the accepted grant-free draft, not an inference that a workforce row can never qualify. Conditional forecast carry reserves do not establish an award or a named obligation.

No serving J2 professional is screened, approached, promised units or entered in a shadow grant register. There is no need to fabricate a recipient to execute the sponsor plan. Every future participant needs the complete individual instrument and actual qualifying-service evidence below.

Administrative payment and tax implementation

The default contract is unfunded nonqualified deferred compensation, not a partnership profits interest, stock award or qualified retirement plan. An individual instrument fixes payment dates before a legally binding deferral: current annual allocation on December 15 of the following year and its elected-at-grant two-year holdback tranche on December 15 of the third following year. The precise holdback fraction remains a grant parameter; no current fraction or economic entitlement is invented for an empty population. It may not be chosen retrospectively to delay an already vested payment.

Finance must finish the certified-results, reserve, dispute and allocation review in time for those fixed dates. Failure to obtain internal approval is not a general right to delay payment. No informal acceleration, subsequent election or discretionary extension is permitted; any actual exception must satisfy the applicable deferred-compensation rules.

Good/bad-leaver and malus decisions govern substantive entitlement under the preserved plan, not an unapproved new payment trigger.

The [IRS final section 409A regulations](#), including fixed schedules and subsequent-deferral restrictions, are the primary federal method source. The two-year holdback means a universal short-term-deferral exemption cannot be claimed. The IRS [NQDC audit guide](#) distinguishes income inclusion, employment-tax timing and employer deduction; it is explanatory guidance, not a substitute for the Code or regulations. The implemented federal checklist addresses constructive receipt/economic benefit, section 409A, section 3121(v)(2) special FICA timing and section 404(a)(5) matching where applicable. Payroll must evaluate when an amount becomes determinable and no longer forfeitable rather than blindly waiting for cash. Income withholding and employer deduction are separate events. With no awards, none of these creates current tax, expense, liability or cash.

The first actual synthetic grant must identify residence, work jurisdictions and employment classification, complete the local compensation and ERISA/securities assessment, and test qualifying service. Former J2 status alone does not prove a top-hat exemption or resolve every state wage restriction. Mandatory employment law remains controlling; no arbitration, exclusive forum, jury waiver, noncompete or waiver of legal remedies is added. No unrestricted foreign-participant tax conclusion is asserted.

Individual grant instrument and verification

The structured source `enterprise/closeout/source/advisory_carry_execution_2026_09_22.json` contains the complete required-field checklist. An individual instrument identifies the participant; J2 end date and service evidence; participant-initiated contact after service; absence of a serving-period promise; approved units and service start; fixed payment/holdback terms; jurisdiction and tax documentation; Legal, People and Finance review; sponsor authority and participant assent. Ordinary grant processing remains subject to the accepted sizing and service gates, not another owner preference question.

`enterprise.closeout.advisory_legal.validate_grant` checks documentary chronology and population boundaries. Its successful result is expressly not a qualifying-service opinion or an issued grant. Actual service-gate reperformance and required approvals are recorded before issuance. Incomplete paperwork cannot create units. Current sponsor execution is complete while the individual population is empty.

Trademark and future transactions — exact external remainder

The operating name remains Sable Harbor Advisory. Repository implementation neither registers it nor warrants freedom to use it in real commerce. September 22 research used the exact phrase, the broader “Sable Harbor” term and the “Sable Harbour” variant. An actual third-party [Apple listing](#) uses Sable Harbor for an adventure game. That is a concrete search hit, not a conclusion of infringement or a conflict with professional advisory services. It must not be discarded to obtain a clean fictional clearance result.

The [USPTO clearance guidance](#) requires more than exact federal matches; state and common-law use can matter. The official [trademark search portal](#) was identified, but no complete certified federal/state search population was obtained in this execution. Accordingly actual external commercial clearance remains NOT_ESTABLISHED. This is a precise external-use limitation, not a bar to a publicly identified fictional company edition or a reason to reopen its operating-name choice. A real commercial launch needs the scoped search and risk opinion; no real application, class list or first-use date is fabricated.

There is no currently approved Advisory sale, spinout, SPV or tax-consolidation transaction. Those transaction-specific documents are NOT_APPLICABLE_TO_CURRENT_EDITION. The accepted economically fair conversion direction remains, without automatic exchange, new voting rights or accelerated payout. Issue #18 can distinguish completed synthetic parent-tax and sponsor-plan implementation from genuine external clearance/professional execution and future transaction work; it cannot truthfully claim the latter occurred.